EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Calayan, Cagayan was founded in 1619. It was created as a municipal district of Batanes in 1896 and became part of the Province of Cagayan as a barrio of Aparri in 1902. It was declared as a separate town on March 6, 1923. The main Island of Calayan, the seat of government, is located about 100 kilometers north of Aparri, Cagayan. This town has a total land area of 54,953.75 hectares and is a first-class Municipality with twelve (12) barangays. This Municipality is an archipelago composed of small islands and islets.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Calayan for the year 2025 and was aimed at determining whether Management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Calayan, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	926,134,530.09	889,452,724.16	36,681,805.93
Liabilities	271,940,584.93	241,852,995.43	30,087,589.50
Government Equity	654,193,945.16	647,599,728.73	6,594,216.43
Financial Performance			
Income	272,413,038.35	236,422,260.82	35,990,777.53
Expenses	237,270,144.54	234,565,948.16	2,704,196.38
Net Income	35,142,893.81	1,856,312.66	33,286,581.15

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Construction of VIP Lounge	P1,490,357.34
Construction of Quarantine /Isolation Facility	10,909,970.27
Construction of Administration Building-District Office	1,306,071.34
Construction of CHB Security Fence Calayan Community Airport	7,868,370.52
Concreting of Camiguin Circumferential Road (Magarubat-Kabuaan Section)	18,541,056.95
Continuation of Concreting of Don Rufino Road	8,974,991.18
Construction of Airport VIP Lounge	3,396,769.11
Rehabilitation of Damaged Infrastructure and Facilities-Rehabilitation of Don Rufino Road (Slope Protection)	1,135,312.50
Construction of SB VIP Lounge	1,487,357.34
Total	**55,110,256.55**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Calayan, Cagayan for the year-ended December 31, 2025 due to: (1) completed projects amounting to P11,726,471.23 remained recorded under the Construction in Progress account instead of being transferred to the appropriate Property, Plant and Equipment accounts and the related Depreciation Expense and Accumulated Depreciation were not recognized, resulting in the overstatement of assets and understatement of expenses; and (2) non-submission of Disbursement Vouchers and supporting documents totaling to P56,688,335.35 which prevented the audit team from performing necessary audit procedures to verify the correctness, validity, and propriety of the recorded transactions.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Cash-Local Treasury account amounting to P1,293,956.66 as at December 31, 2025 remained undeposited with the authorized government depository bank due to the failure of the Management to enforce the immediate remittance of these collections, thereby, casting doubt on the existence and reliability on the reported balance of the said account and depriving the Municipality of the immediate use of the funds for its priority programs and projects.

   We recommended that the Local Chief Executive require all persons accountable to remit immediately the total amount reported under Cash in Local Treasury - Old account.

2. The Municipality recognized Biological Assets amounting to P3,213,457.24 pertaining to tree plantations under the Enhanced National Greening Program (ENGP), which were funded through transfers from the Department of

Environment and Natural Resources (DENR), despite the items not meeting the asset recognition criteria set forth in the International Public Sector Accounting Standards 1 – Presentation of Financial Statements and as provided for in DENR Administrative Order (DAO) No. 2015-03 dated January 8, 2019, thereby resulting in the overstatement of assets and equity in the Financial Statements.

We recommended that the Municipal Accountant draw the necessary journal entries to derecognize from the agency books the recorded Biological Assets – Plants and Trees amounting to P3,213,457.24 and ensure that future recognition of similar items is supported with sufficient evidence of control and entitlement to future economic benefits.

3. Long outstanding Other Receivables account totaling to P10,747,359.12 as at December 31, 2025 continued to exist in the books of the Municipality for more than ten (10) years, contrary to Sections 2 and 102 (1) of Presidential Decree No. 1445, thus, affecting the fair presentation of this account in the Financial Statements.

   We recommended that the Management, thru the Local Chief Executive, exhaust all possible remedies available to collect from the persons liable who are separated from the Municipality or deceased.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-

H. Status of Implementation of Prior Years' Audit Recommendations

Out of the sixteen (16) audit recommendations embodied in the CY 2024 Annual Audit Report, nine (9) were fully implemented and seven (7) were not implemented and reiterated in Part II of this Report.